



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Ross Gayler & Sallyanne Carley

Of

102 Through Road
CAMBERWELL VIC 3124

Prepared on:

19th November 2015

By your Adviser:

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

19/11/2015

Mr Ross Gayler & Ms Sallyanne Carley
102 Through Road
Camberwell VIC 3124

Dear Ross & Sallyanne,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Structure of assets
- Superannuation Structure
- Tax minimisation
- Retirement Planning

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14 day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore we recommend you refer to the Product Disclosure Statement for

each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Ross and Sallyanne, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Review your superannuation portfolio.
- Explore options as to best use of your surplus cash flow and cash deposits
- Explore ways in which to maximise your retirement nest egg as you move into the final phase of your working life.
- Place your future assets under the most tax effective ownership structure.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr	Ms
First Name	Ross	Sallyanne
Surname	Gayler	Carley
Gender	M	F
Date of Birth	11/01/1957	17/03/1955
Age Last Birthday	58	60
Marital Status	Married	Married

Employment Details

Employment Status	Permanent Part Time	Self Employed
Occupation	Statistician	GP
Employer	Connected Analytics	Self
Proposed Retirement Age	65 (2022)	63 (2018)

Estate Planning

	Ross	Sallyanne
Do you have a Current Will?	Yes	Yes
Do you have Current Powers of Attorney?	Yes	Yes
Do you have a Testamentary Trust?	Yes	Yes

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Residential Home	\$1,200,000
Home Contents	\$50,000
Motor Vehicles	\$10,000
Total Lifestyle Assets	\$1,260,000

Investment Assets	
Cash	\$430,000
Business Value	\$190,000
Total Superannuation Assets	\$620,000

Superannuation Assets	
Q Super - Ross	\$374,778
Asteron Optimum – Ross	\$308,131
Australian Super - Sallyanne	\$477,686
Total Superannuation Assets	\$1,160,595

Total ASSETS	\$3,040,595
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LIABILITIES

Mortgage	\$700
Total Liabilities	\$0

NET WORTH	\$3,039,895
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Notes: As the above information has been used in preparing our recommendations please advise us of any errors or omissions.

The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon your responses to the Risk Profile Questionnaire, it was determined that you can both be considered as **Moderately Conservative** investors in regards to investment outside of superannuation, and **Balanced** investors in regards to investments within superannuation.

Typically, a **Moderately Conservative** investor has the following characteristics:

- The Moderately Conservative investor seeks a diversified portfolio with a balance of defensive and growth assets.
- This requires an investment time horizon of between 3 – 5 years.
- The portfolio would be include a high portion of income bearing securities such as cash and fixed interest, with a small exposure to equities and property providing appreciation potential.

A Moderately Conservative investor will typically diversify their investment in the following manner:

Australian Shares	24%
International Shares	14%
Fixed Interest	38%
Property	10%
Cash	14%

Typically, a **Balanced** investor has the following characteristics:

- The Balanced investor will typically operate a portfolio evenly split between interest bearing securities and growth oriented investments.
- An exposure to a range of investment sectors including cash, fixed interest, property and shares ensures the portfolio is “truly” balanced.
- Investors are typically comfortable with a variability of their capital over a 5 year horizon while their portfolio builds a growing income stream and capital growth.

A Balanced investor will typically diversify their investment in the following manner:

Australian Shares	34%
International Shares	20%
Fixed Interest	26%
Property	14%
Cash	6%

Ross and Sallyanne, within your risk profile, you have made the following requests:

- **You would like your savings/investments to be ethically invested in socially responsible funds**
- **You would like to avoid investing in Australian residential property**
- **You have a preference for member-owned institutions**

We have taken these requests into consideration where possible throughout this SoA.

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2015-16

<i>Taxable income</i>	<i>Tax on this income</i>
\$1 – \$18,200	Nil
\$18,201 – \$37,000	19c for each \$1 over \$18,200
\$37,001 – \$80,000	\$3,572 plus 32.5c for each \$1 over \$37,000
\$80,001 – \$180,000	\$17,547 plus 37c for each \$1 over \$80,000
\$180,001 and over	\$54,547 plus 45c for each \$1 over \$180,000

* The above rates **do not** include the Medicare levy of 2%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase - Tax rate = 15%

Superannuation in 'pension' phase - Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation phase	Super pension phase	
			Age 55-59	After age 60
Salary/pension income	Marginal tax rate (max 45% + medicare)	n/a	Marginal tax rate (less 15% rebate) + medicare	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	n/a	n/a
Investment income	Marginal tax rate (max 45% + medicare)	Maximum 15%	Tax free	Tax free
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free	Tax free

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

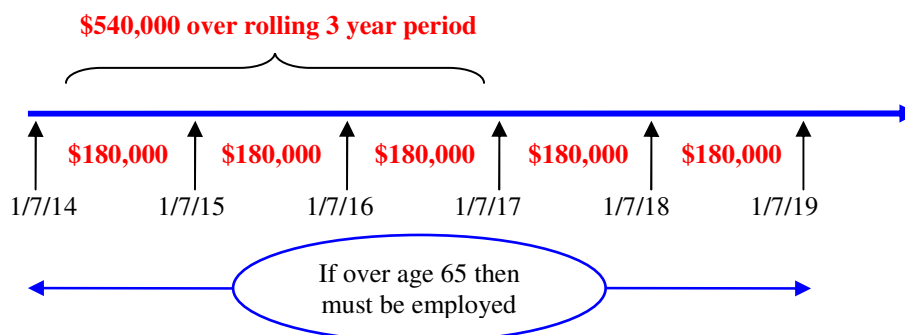
Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-65	Age 65-74*	Age 75 and over
From 1 July 2012	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2013	\$25,000	\$25,000	\$35,000	\$35,000	SGC only
From 1 July 2014	\$30,000	\$35,000	\$35,000	\$35,000	SGC only

*Must be employed at least 40 hours during any consecutive 30 day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 65	Age 65 to 74	Age 75 and over
From 1 July 2007	\$150,000 p.a.	May bring forward two years of contributions to make a \$450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	\$180,000 p.a.	May bring forward two years of contributions to make a \$540,000 contribution in one financial year	Must be employed	Cannot contribute



Income and Expenses

The following is a summary of your Income and Expenses that was provided to us by Ross:

- Current – Sallyanne is currently not taking any salary from her business, as she wishes to sell in June 2016. As at October 2016 Sallyanne will look for paid employment.
 - Ross net income - \$103,000
 - Sallyanne's net income - \$0
 - Annual expenses - \$110,000
 - Cash Flow deficit - \$7,000

- Proposed Future – From October 2016 Sallyanne will be returning to paid employment, her suggested net income may be approximately \$37,000 after tax and super contributions.
 - Ross' net income - \$103,000
 - Sallyanne's net income - \$37,000
 - Annual expenses - \$110,000
 - Cash Flow Surplus - \$30,000

Investments Currently Outside of Superannuation

- Ross and Sallyanne, you currently have the following investments in your personal name:

Cash	\$430,000
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- You seek advice with respect to the best use of these funds.

Recommendation:

- Ross and Sallyanne, in light of the fact that superannuation is a 'tax-free' environment to hold investment assets (when in pension phase), we recommend that Sallyanne make a Personal Non-Concessional contribution of \$430,000, using the "bring forward rule" (these contributions remain within the contribution caps detailed in the 'Superannuation Contribution Limits' section).
- We recommend that Sallyanne converts her superannuation balance to 'pension phase'.

Benefits:

- As Sallyanne is over the age of 60, superannuation becomes a tax free environment once she converts her fund to 'pension phase' (detailed later within this document).
- As Sallyanne's superannuation fund will be in 'pension phase', any assets held within the fund are effectively being held in the most tax effective environment.
- The returns on balances held within superannuation and invested should be higher than the current returns on cash held in bank deposits.

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Superannuation Funds

Ross and Sallyanne, you currently hold the following superannuation funds:

- Q Super (Ross) – \$374,778
- Asteron Optimum (Ross) - \$308,131
- Australian Super (Sallyanne) - \$477,686
- **Total superannuation = \$1,160,595**

Without accounting for investment performance and withdrawals, the anticipated balances within the superannuation environment based on the contributions recommended on the previous page are now as follows:

Ross	\$682,909
Sallyanne	\$907,686
TOTAL SUPERANNUATION BALANCE	\$1,590,595

Recommendations:

- Ross and Sallyanne, you have a number of options in terms of how your superannuation is structured once the above contribution is made:
 - Investing all of your superannuation in a wholesale 'master trust' superannuation platform with Colonial First State.
 - Investing your superannuation within a 'Wrap' platform with Macquarie.
 - Maintaining your superannuation within your existing industry funds, Q Super and Australian Super respectively but switching the investment option to 'ethical' funds.
 - Commencing a Self-Managed Superannuation Fund (SMSF) and holding all of your superannuation monies within this vehicle.

NB: The Asteron Optimum fund was not considered as a viable option throughout this SoA due to the high fee structure and the fact there are more 'modern' platforms available

Current Superannuation Structure

The current estimated asset allocation of your superannuation portfolio is as follows:

Asset Class	Q Super (\$374,778)	Asteron (\$308,131)	Australian Super (\$477,686)	Total (\$1,160,595)
Australian Shares	3.60%	33.68%	31.00%	22.86%
International Shares	6.00%	29.44%	31.00%	22.51%
Property	7.00%	5.68%	22.00%	12.82%
Fixed Interest	6.10%	21.17%	10.00%	11.71%
Cash	71.20%	9.48%	3.00%	26.74%
Other	6.00%	0.55%	3.00%	3.36%
	100.00%	100.00%	100.00%	100.00%

Current Superannuation Portfolio Profile Compared to Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Balanced	Deviation
Australian Shares	22.86%	34.00%	-11.14%
International Shares	22.51%	20.00%	+2.51%
Property	12.82%	14.00%	-1.18%
Fixed Interest	11.71%	26.00%	-14.29%
Cash	26.74%	6.00%	+20.74%
Other	3.36%	0.00%	+3.36%

Assuming the non-concessional contribution of \$430,000 is made to Sallyanne's superannuation fund, you will have a combined approximate balance of **\$1,590,595**.

Based on a 'Balanced' portfolio in line with your investor risk profile, we would suggest that each of your super funds be invested in the following manner under each of the options available:

Ross - Balanced:

Asset Class	% of Portfolio	Value
Australian Shares	34%	\$232,189
International Shares	20%	\$136,582
Fixed Interest	26%	\$177,556
Property	14%	\$95,607
Cash	6%	\$40,975
	100%	\$682,909

Sallyanne - Balanced:

Asset Class	% of Portfolio	Value
Australian Shares	34%	\$308,613
International Shares	20%	\$181,537
Fixed Interest	26%	\$235,998
Property	14%	\$127,076
Cash	6%	\$54,462
	100%	\$907,686

Investments Within Superannuation

Option 1 – Master Trust Platforms (Colonial First State)

Your combined \$1,590,595 invested in the Colonial First State platform would have a specifically modelled portfolio directly in line with your 'Balanced' Investor Risk Profile.

The specific underlying funds that make up your individual portfolios would be:

Ross – Colonial First State Wholesale personal Super

Asset Class	% of Portfolio	Value
BT Wholesale Core Australian Share	10.00%	\$68,291
Fidelity Wholesale Australian Equities	10.00%	\$68,291
Perennial Wholesale Value Australian Share	10.00%	\$68,291
CFS Wholesale Small Companies - Core	4.00%	\$27,316
BT Core Wholesale Global Share Fund (AQR)	7.00%	\$47,804
Generation Wholesale Global Share^	7.00%	\$47,804
MFS Wholesale Global Equity	6.00%	\$40,975
BT Wholesale Property Investment	5.00%	\$34,145
CFS Wholesale Global Listed Infrastructure Securities	5.00%	\$34,145
CFS Wholesale Global property Securities	4.00%	\$27,316
FirstChoice Wholesale Fixed Interest	26.00%	\$177,556
CFS Wholesale Cash Fund	6.00%	\$40,975
	100%	\$682,909

Sallyanne – Colonial First State Wholesale Pension

Asset Class	% of Portfolio	Value
BT Wholesale Core Australian Share	10.00%	\$90,769
Fidelity Wholesale Australian Equities	10.00%	\$90,769
Perennial Wholesale Value Australian Share	10.00%	\$90,769
CFS Wholesale Small Companies - Core	4.00%	\$36,307
BT Core Wholesale Global Share Fund (AQR)	7.00%	\$63,538
Generation Wholesale Global Share^	7.00%	\$63,538
MFS Wholesale Global Equity	6.00%	\$54,461
BT Wholesale Property Investment	5.00%	\$45,384
CFS Wholesale Global Listed Infrastructure Securities	5.00%	\$45,384
CFS Wholesale Global property Securities	4.00%	\$36,307
FirstChoice Wholesale Fixed Interest	26.00%	\$235,998
CFS Wholesale Cash Fund	6.00%	\$54,461
	100%	\$907,686

^The Generations Global share fund includes sustainable investing in the fund's investment strategy

Benefits:

- Your funds will be invested in line with your Investor Risk Profile
- The Colonial Platform offers flexibility in terms of offering access to in excess of 100 underlying funds that can be incorporated into your portfolio
- The underlying funds are actively managed by a diverse range of fund managers
- You will receive ongoing advice and reporting

Downside:

- The overall fees are higher than an industry fund in light of the active management and ongoing advice
- The range of ethical and sustainable investment options is limited.

Option 2 – Wrap Platform (Macquarie)

Your combined \$1,590,595 invested in the Macquarie Wrap platform would have a specifically modelled portfolio directly in line with your 'Balanced' Investor Risk Profile.

The specific underlying funds that make up this portfolio would be:

Ross – Macquarie Wrap Consolidator

Asset Class	% of Portfolio	Value
Perpetual Wholesale Ethical SRI Fund	15.00%	\$102,436
Australian Ethical Australian Shares (Small Companies)	4.00%	\$27,316
Australian Ethical Shares (Large Companies)	15.00%	\$102,436
CFS Generation Wholesale Global Share	7.00%	\$47,804
MFS Wholesale Global Equity	7.00%	\$47,804
BT Wholesale Core Global Share Fund	7.00%	\$47,804
BT Wholesale Property Investment	6.00%	\$40,975
CFS Wholesale Global Property Securities Fund	7.00%	\$47,804
Macquarie Master Diversified Fixed Interest	26.00%	\$177,556
Macquarie Cash Hub	6.00%	\$40,974
	100%	\$682,909

Sallyanne – Macquarie Wrap Consolidator

Asset Class	% of Portfolio	Value
Perpetual Wholesale Ethical SRI Fund	15.00%	\$136,153
Australian Ethical Australian Shares (Small Companies)	4.00%	\$36,307
Australian Ethical Shares (Large Companies)	15.00%	\$136,153
CFS Generation Wholesale Global Share	7.00%	\$63,538
MFS Wholesale Global Equity	7.00%	\$63,538
BT Wholesale Core Global Share Fund	7.00%	\$63,538
BT Wholesale Property Investment	6.00%	\$54,461
CFS Wholesale Global Property Securities Fund	7.00%	\$63,538
Macquarie Master Diversified Fixed Interest	26.00%	\$235,998
Macquarie Cash Hub	6.00%	\$54,460
	100%	\$907,686

Benefits:

- Your funds will be invested in line with your Investor Risk Profile
- The Macquarie Wrap Platform offers flexibility in terms of offering access to in excess of 100 underlying funds that can be incorporated into your portfolio
- The underlying funds are actively managed by a diverse range of fund managers
- Macquarie Wrap has a larger offering of sustainable and ethical investments to choose from than Colonial First State
- You will receive ongoing advice and reporting

Downside:

- The overall fees are higher than an industry fund such as Rest Super in light of the active management and ongoing advice

Option 3 – Member Owned Super Fund

Invest your total individual balances within your existing industry funds, Q Super (Ross) and Australian Super (Sallyanne). Your combined \$1,590,595 will be invested in as close to a 'Balanced' option as possible. Please find the below table outlining the investment option, asset allocation, as well as respective investment amount:

Ross – Q Super 'Socially Responsible' option

Asset Class	% of Portfolio	\$ Invested
Australian Shares	12.42%	\$84,817
International Shares	18.50%	\$126,338
Fixed Interest	9.10%	\$62,145
Property	26.10%	\$178,239
Cash	31.30%	\$213,751
Other	2.50%	\$17,073
	100%	\$682,909

Sallyanne – Australian Super 'Sustainable Balanced' option

Asset Class	% of Portfolio	\$ Invested
Australian Shares	31%	\$281,383
International Shares	31%	\$281,383
Fixed Interest	10%	\$90,769
Property	22%	\$199,691
Cash	3%	\$27,230
Other	3%	\$27,230
	100%	\$907,686

Benefits:

- Both funds provide a low cost platform.
- Both funds meet your requirement of sustainable and ethical investment strategy.

Downside:

- The funds offer limited flexibility in terms of how your funds can be invested (i.e. with Australian Super you are restricted to either seven pre-mixed options or DIY mix options with only ten underlying funds). You cannot select specific underlying funds outside of these options.
- Active management is extremely limited.
- Your funds will not be invested directly in line with your 'Balanced' Investor Risk Profile due to the limited options available.
- ***We will be unable to provide ongoing advice and reporting as industry funds will not allow independent advisers to service their funds***

Option 4 – Self Managed Superannuation Fund (SMSF)

An SMSF presents you with additional options in terms of how your funds may be invested. Options for a portfolio that is in line with your 'Balanced' Investor Risk Profile are as follows:

Benefits:

- Flexibility and control of your investment decisions
- The ability to purchase investment assets that cannot be purchased via other types of superannuation funds (e.g. direct property).
- The ability to borrow to invest.

Downsides:

- Running an SMSF can be expensive if you don't manage all costs, fees and charges of the products and services you use.

International Shares

Investment Name	Investment Value	Management Expense Ratio (MER)
Colonial FirstChoice Wholesale Platform		
<i>BT Core Wholesale Global Share Fund (AQR)</i>	\$111,342	1.31%
<i>Generations Wholesale Global Share</i>	\$111,342	2.06%
<i>MFS Wholesale Global Equity</i>	\$95,436	1.21%
Total Investment	\$318,120	

Property

Investment Name	Investment Value	Management Expense Ratio (MER)
Colonial FirstChoice Wholesale Platform		
<i>BT Wholesale Property Investment</i>	\$79,530	1.05%
<i>CFS Wholesale Global Listed Infrastructure Securities</i>	\$79,530	1.21%
<i>CFS WS Colliers Global Property Securities</i>	\$63,624	1.01%
Total Investment	\$222,684	

Australian Shares – Option A

Investment Name	Investment Value	Management Expense Ratio (MER)
Colonial FirstChoice Wholesale Platform		
<i>BT Wholesale Core Australian Share</i>	\$159,060	1.01%
<i>Fidelity Wholesale Australian Equities</i>	\$159,060	1.06%
<i>Perennial Wholesale Value Australian Share</i>	\$159,060	1.00%
<i>CFS Wholesale Small Companies - Core</i>	\$63,624	1.11%
Total Investment	\$540,804	

Australian Shares – Option B

Investment Name	Investment Value	Indicative Management Cost
Direct Shares¹	\$540,804	<i>Cost of brokerage (typically 1%)</i>
Total Investment	\$540,804	

¹ Specific shares to be recommended by an authorised stock broker should you wish to proceed with this option.

Fixed Interest – Option A

Investment Name	Investment Value	Management Expense Ratio (MER)
Colonial FirstChoice Wholesale Platform*		
<i>FirstChoice Wholesale Fixed Interest[^]</i>	\$413,555	0.75%
Total Investment	\$413,555	

[^] Performance figures (net of MER) for the FirstChoice Wholesale Fixed Interest Fund as at 30/09/15 are as follows:

1 year	2 years	3 years	5 years	Since inception	Inception date
5.34%	6.24%	5.00%	6.46%	6.42%	17/04/02

Fixed Interest – Option B

Investment Name	Investment Value	Management Expense Ratio (MER)
Term Deposit [°]	\$413,555	0%
Total Investment	\$413,555	

[°] The highest rates currently available for term deposits of \$495,500 for a term of 12 months are:

ING Direct	-	2.90%
ME Bank	-	2.90%
CUA	-	2.85%

Cash – account to be set up

Investment Name	Investment Value
SMSF Bank Account	\$95,431
Total Investment	\$95,431

Current Fees

Ross and Sallyanne, you are currently paying the following fees in your existing super funds (not taking into consideration the recommended contribution to Sallyanne's fund).

Ross

Type of Fee or Cost	Q Super	Asteron Optimum Corporate
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	0.20% p.a. capped at \$1,000	0.50% p.a.
Adviser Service Fee – additional fee paid to financial adviser	Nil	0.50% p.a.
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0.30% p.a.	0.95% p.a.
Annual average cost on Total \$374,778 investment	\$1,874 p.a	N/A
Annual average cost on Total \$308,131 investment	N/A	\$6,092 p.a.

➤ **Ross, your total annual fees within superannuation are \$7,966**

Sallyanne

- Australian Super fund balance - \$477,686
- Administration Fee - \$65 p.a.
- Management Expense Ratio for Balanced option - 0.57% p.a.
- **Sallyanne, your total annual fees are \$2,788**

Ongoing Fee Comparison

- We have provided a comparison regarding fees, on the difference between investing in a Master Trust platform, Wrap platform, an industry fund and a SMSF.

- **NB:** For the purpose of the exercise, we have assumed the full amount of each of your individual proposed portfolios is invested in the above proposed portfolio options closely linked to your risk profile and stated requirements. Please see the table on the following page regarding these options.

Replacement of an Existing Product - Ross

Type of Fee or Cost	Q Super 'Sustainable' Fund	SMSF (Self-Managed Super Fund)	Macquarie Wrap Consolidator	Colonial WS Super Fund
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	0.20% p.a. capped at \$1,000	Nil	0.38% p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	\$1,650 Fixed Fee p.a.^	\$1,650 Fixed Fee p.a.^	\$1,650 Fixed Fee p.a.^	\$1,650 Fixed Fee p.a.^
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0.69% p.a.	0% to 2.06%	0.84% p.a.	1.04%
Set up cost of SMSF (if done via Lakeside)	N/A	\$2,000**	N/A	N/A
First year cost on Total \$682,909 superannuation Investment[#]	\$7,362 p.a.	\$5,589-\$9,325*,***	\$10,012 p.a.	\$8,749 p.a.
Annual average cost on Total \$682,909 investment[#]	\$7,362 p.a.	\$4,728-\$8,466*,***	\$10,012 p.a.	\$8,749 p.a.

Notes:

^ Ross and Sallyanne, you have agreed to an ongoing advice fee arrangement of \$3,300 including GST paid in quarterly prepaid instalments

* A SMSF would need to be audited and have a tax return completed by your Accountant each year which would involve an additional ongoing cost in terms of accounting fees. **These fees are estimated to be between approximately \$2,000.**

** Lakeside Accounting can assist in the establishment of your SMSF if you decide to take this path. The initial cost to set up the fund will be \$2,000 + GST.

*** The first year cost and annual average cost will vary depending upon investment options selected as outlined in the 'Investments within superannuation section of this Statement of Advice.

[#] When compared directly, the Q Super and Australian Super options offer a lower fee structure. However these options do not provide active management of your retirement nest egg. **You have stated that you do not want to have to spend time constantly managing your investments and that you are happy for them to be professionally managed at a reasonable fee. The other three options provide for this.**

Replacement of an Existing Product - Sallyanne

Type of Fee or Cost	Australian Super 'Sustainable Balanced' Pension	SMSF (Self-Managed Super Fund)	Macquarie Wrap Consolidator	Colonial WS Pension Fund
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	\$65 p.a.	Nil	0.33% p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	\$1,650 Fixed Fee p.a.^	\$1,650 Fixed Fee p.a.^	\$1,650 Fixed Fee p.a.^	\$1,650 Fixed Fee p.a.^
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0.66% p.a.	0% to 2.06%	0.84%	1.03%
Set up cost of SMSF (if done via Lakeside)	N/A	\$2,000**	N/A	N/A
First year cost on Total \$907,686 superannuation Investment[#]	\$7,705 p.a.	\$7,408-\$12,362*,***	\$12,290 p.a.	\$10,969 p.a.
Annual average cost on Total \$907,686 investment[#]	\$7,705 p.a.	\$6,268-\$11,222*,***	\$12,290 p.a.	\$10,969 p.a.

Notes:

^ Ross and Sallyanne, you have agreed to an ongoing advice fee arrangement of \$3,300 including GST paid in quarterly prepaid instalments

* A SMSF would need to be audited and have a tax return completed by your Accountant each year which would involve an additional ongoing cost in terms of accounting fees. **These fees are estimated to be between approximately \$2,000.**

** Lakeside Accounting can assist in the establishment of your SMSF if you decide to take this path. The initial cost to set up the fund will be \$2,000 + GST.

*** The first year cost and annual average cost will vary depending upon investment options selected as outlined in the 'Investments within superannuation section of this Statement of Advice.

When compared directly, the Q Super and Australian Super options offer a lower fee structure. However these options do not provide active management of your retirement nest egg. **You have stated that you do not want to have to spend time constantly managing your investments and that you are happy for them to be professionally managed at a reasonable fee. The other three options provide for this.**

Proposed Portfolio Historical Performance

I have provided a performance comparison of each of the proposed options (except SMSF) in the tables below. It is important to note the return for option 1 and 2 are as at the 31st October 2015. The Industry funds tend not to report as often, hence their latest performance figures are not as current as the other two options (dates provided below). The below returns are all historical, based on your proposed weightings, and are no indication of future performance.

OPTION 1 - MASTER TRUST

Ross

Colonial Wholesale Superannuation Fund				
	% of portfolio	1 year	3 years	5 years
BT Wholesale Core Australian Share	10.00%	0.47%	1.29%	0.89%
Fidelity Wholesale Australian Equities	10.00%	0.40%	1.26%	0.92%
Perennial Wholesale Value Australian Share	10.00%	0.06%	1.18%	0.69%
CFS Wholesale Small Companies - Core	4.00%	0.54%	0.55%	0.36%
BT Core Wholesale Global Share Fund	7.00%	1.68%	1.69%	1.08%
CFS Generation Wholesale Global Share	7.00%	2.35%	2.16%	1.25%
MFS Wholesale Global Equity	6.00%	1.49%	1.46%	0.96%
BT Wholesale Property Investment	5.00%	0.77%	0.67%	0.65%
CFS WS Global Listed Infrastructure	5.00%	0.43%	0.76%	0.67%
CFS WS Colliers Global Property Securities	4.00%	0.51%	0.50%	0.49%
FirstChoice Wholesale Fixed Interest	26.00%	1.18%	1.18%	1.47%
CFS Wholesale Cash	6.00%	0.12%	0.14%	0.18%
	100.00%	9.99%	12.82%	9.61%

Sallyanne

Colonial Wholesale Pension Fund				
	% of portfolio	1 year	3 years	5 years
BT Wholesale Core Australian Share	10.00%	0.51%	1.41%	0.92%
Fidelity Wholesale Australian Equities	10.00%	0.45%	1.41%	1.00%
Perennial Wholesale Value Australian Share	10.00%	0.07%	1.26%	0.77%
CFS Wholesale Small Companies - Core	4.00%	0.62%	0.62%	0.42%
BT Core Wholesale Global Share Fund	7.00%	1.84%	1.88%	1.18%
CFS Generation Wholesale Global Share	7.00%	2.35%	2.16%	1.25%
MFS Wholesale Global Equity	6.00%	1.66%	1.63%	1.02%
BT Wholesale Property Investment	5.00%	0.86%	0.75%	0.71%
CFS WS Global Listed Infrastructure	5.00%	0.47%	0.83%	0.73%
CFS WS Colliers Global Property Securities	4.00%	0.57%	0.57%	0.55%
FirstChoice Wholesale Fixed Interest	26.00%	1.36%	1.32%	1.71%
CFS Wholesale Cash	6.00%	0.14%	0.16%	0.21%
	100.00%	10.91%	14.01%	10.47%

OPTION 2

Macquarie Wrap Super and Pension				
	% of portfolio	1 year	3 years	5 years
Perpetual Wholesale Ethical SRI Fund	15.00%	1.62%	2.45%	2.25%
Australian Ethical Australian Shares (Small Cor	4.00%	0.71%	0.75%	N/A*
Australian Ethical Shares (Large Companies)	15.00%	1.55%	2.97%	N/A*
CFS Generation Wholesale Global Share	7.00%	2.35%	2.16%	1.25%
MFS Wholesale Global Equity	7.00%	1.74%	1.70%	1.12%
BT Wholesale Core Global Share Fund	7.00%	1.87%	1.90%	1.20%
BT Wholesale Property Investment	6.00%	1.49%	1.46%	0.96%
CFS Wholesale Global Property Securities Fun	7.00%	0.99%	0.99%	0.95%
Macquarie Master Diversified Fixed Interest	26.00%	1.21%	0.96%	1.49%
Macquarie Cash Hub	6.00%	0.08%	0.08%	0.08%
	100.00%	13.61%	15.43%	N/A*

**Funds have not been active for this period*

OPTION 3

Sallyanne - as at 30/06/2015

Australian Super				
	% of portfolio	1 year	3 years	5 years
Sustainable Balanced Fund	100.00%	11.03%	15.50%	11.55%
	100.00%	11.03%	15.50%	11.55%

Ross - as at 30/09/2015

Q Super				
	% of portfolio	1 year	3 years	5 years
Socially Responsible Fund	100.00%	5.97%	11.66%	8.73%
	100.00%	5.97%	11.66%	8.73%

Transition to Retirement

The aim of a 'Transition to Retirement' strategy is to utilise current legislation to increase superannuation contributions whilst remaining cash flow neutral.

Current legislation allows you both (as you have reached preservation age of 55), to commence a non-commutable income stream with your superannuation monies without having to satisfy a condition of release. From age 60, all income received from this income stream are tax free. Once you have commenced an income stream all income on the amount funding the income stream is tax free as opposed to being taxed at 15% when in accumulation phase.

The minimum pension amount that you must draw is 4% per annum whilst the maximum pension you can draw is 10%, with the specific amounts being re-calculated in July each year.

The additional income received from your pre-retirement income stream allows you to make additional contributions to superannuation in the form of salary sacrifice. Salary sacrifice contributions are pre-tax contributions and therefore result in a reduction of assessable income. These superannuation contributions are concessional taxed at a maximum of 15% as opposed to marginal tax rates of up to 47%.

The 'Transition to Retirement' strategy results in an increased net inflow to superannuation and therefore a maximisation of your retirement savings in a tax effective manner.

Ross and Sallyanne, you have both been making the maximum concessional contribution per annum to superannuation (\$35,000). Sallyanne is no longer taking an income from her business until it is sold in approximately June 2016. In October 2016 Sallyanne will be seeking paid employment.

Pre-Retirement Income Stream

Recommendations:

- Sallyanne, commence a non-commutable pre-retirement allocated pension using all but the minimum (\$5,000) of your Australian Super balance and the \$430,000 non-concessional contribution previously recommended.
- Ross, we do not recommend that you commence an income stream, as there are no real benefits in your current situation. When you reach age 60 we will re-assess the suitability for you.
- Sallyanne, commence the minimum pension income stream. Based on a pension fund balance of \$902,686, this is estimated as **\$36,107** per annum (\$3,009 per month approx.).
- This pension income is tax free and can be used to supplement the business income that you would normally receive.
- Once you return to gainful employment in October 2016, we recommend that you continue salary sacrificing your income to superannuation as you have been historically doing.
- The surplus funds that Sallyanne draws down are to be re-contributed to superannuation as non-concessional contributions.
- *As Sallyanne is using the 'bring forward' rule to deposit \$430,000 to superannuation now, the maximum she can re-contribute from monies drawn down until July 1 2019, is an additional \$110,000 (The cap over three years is \$540,000). We will need to keep an eye on this until that date.*

Benefits:

- By commencing a pre-retirement income stream you are receiving a tax free income, as well as there being no tax on the earnings within your pension fund.
- There is an immediate income tax benefit on withdrawal and re-contribution, as a result of this strategy.
- Once Sallyanne commences an income stream, the earnings on her pension account balance become tax free. ***We estimate that this will contribute to a total tax saving of approximately \$9,478 per annum (Based on Sallyanne's proposed \$902,686 super balance earning 7% per annum).***

Salary Sacrifice to Superannuation

Recommendation:

- Sallyanne, you are no longer drawing a salary from your business, once you recommence doing this, or commence gainful employment, we recommend putting in place a salary sacrifice arrangement.
- Ross, continue to salary sacrifice to the maximum concessional contributions cap of \$35,000 per annum, as you have been doing.

Benefits:

- Salary sacrifice contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Ross and Sallyanne, any salary sacrifice contributions will be taxed at a maximum of 15% compared to at your marginal tax rate if taken as income.

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

IMPORTANT:

It is important that any salary sacrifice arrangement is clearly documented in writing. You should also confirm with your employer that they are going to continue to pay Superannuation Guarantee Contributions (SGC) on the grossed up amount of your package, i.e. that the SGC will continue to be calculated on the total of your salary + salary sacrificed amount.

Future Strategy - Withdrawal and Re-Contribution (Taxable and Tax Free components)

This is an estate planning strategy for people in retirement or nearing retirement that effectively converts a percentage of the taxable superannuation component into a tax-free component.

In other words this strategy produces a higher tax-free amount than would otherwise be available. Note that a non-dependant beneficiary is liable for tax at 17% (including Medicare) on any taxable superannuation amounts received. Non-dependant beneficiaries include adult children over the age of 18.

You may withdraw and re-contribute your superannuation account balance in stages to convert it into tax-free component.

This must be done within the contribution limits detailed in the 'Superannuation Contribution Limits' section of this Statement of Advice.

The purpose of this strategy is to arrive at a position in which the highest percentage possible of your superannuation fund is tax-free component by withdrawing current superannuation funds, and making non-concessional (after tax) contributions back into the superannuation environment. Non-concessional contributions are contributed back in as tax-free monies.

Upon death, all funds in the tax-free component are passed to beneficiaries, including tax non-dependants, tax free.

Any funds passed to tax non-dependants from the taxable component are taxed at 17% (Incl Medicare).

The current taxable components (and subsequent tax payable if paid to non-dependants) for your respective funds is as follows:

	Taxable Component	Potential tax payable if paid to non-dependants
Ross	\$600,585	\$102,099
Sallyanne	\$476,336	\$80,977

Benefits:

- This strategy will reduce the level of tax payable upon payment of your Death Benefit to your non-dependant beneficiaries.
- The potential tax saving is 17% (including medicare levy) of the amount that has been converted from a taxable to a tax-free component. For example, based on a \$1,076,921 taxable component (your current combined taxable component) this would be a **\$183,076 saving**.

Retirement Projections

Ross and Sallyanne, we have taken the liberty of providing retirement projections based on two scenarios. The two core scenarios are as follows;

Scenario 1 – current situation

- Retain your surplus funds outside of superannuation invested in cash
- Retain your existing superannuation structure
- Cash reserves are adjusted based on annual income surplus or deficit

Scenario 2

- Sallyanne contributes your cash reserves to her preferred superannuation pension fund
- Sallyanne commences a pension fund with this contribution, plus all but the minimum of her Australian Super fund and re-contributes the surplus income stream drawn down back into her Australian Super fund

Under each of these scenarios we have calculated your projected capital position based on the following assumptions:

- Capital value of superannuation increases by 7.0% p.a.
- Cash earning rate of 2.5% p.a.
- Ross' net superannuation contributions of \$29,750 p.a. (approximate current NET contributions)
- Sallyanne's net superannuation contributions of \$29,750 in year two until year four (retirement)
- Ross' salary of net \$103,000 per annum
- Ross retires at age 65 in 2022 and Sallyanne retires at age 63 in 2018
- Numbers are in today's dollars

A summary of these projections at **age 65** is detailed in the following table:

Scenario	Retirement Age (Ross)	Retirement Capital (superannuation)	Total Cash Deposits	Total Retirement Assets
1	65	\$2,101,277	\$580,851	\$2,682,128
2	65	\$3,027,903	\$0	\$3,027,903

A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice.

Summary - Superannuation Structure Recommendation

In light of the above recommendations, the following is suggested:

- Ross, consolidate your existing superannuation funds into the preferred superannuation fund, and do not commence a Transition to Retirement pension fund. We will re-assess this when you turn 60.
- Sallyanne, contribute non-concessionally, the balance of your joint cash reserves (\$430,000) along with all but the minimum balance of your Australian Super fund to the preferred superannuation pension fund.
- Sallyanne, commence a pension income stream of the minimum amount per annum, being **\$36,107** per annum (\$3,009 per month approximately) and recontribute surplus funds to superannuation as non-concessional contributions.
- Ross, continue to make the maximum concessional contributions of \$35,000 per annum. Sallyanne, once you begin paid employment post the sale of your business, recommence this also.
- Invest all superannuation funds in line with your Balanced Investor Risk Profile for superannuation investment
- A summary of the pros and cons of the four different superannuation structures is provided below for your guidance:

Planning - Recommendations

	Master Trust	Wrap	Member-Owned	SMSF
Pros	• Your funds will be invested in line with your Investor Risk Profile • The Colonial Platform offers flexibility in terms of offering access to in excess of 100 underlying funds that can be incorporated into your portfolio • The underlying funds are actively managed by a diverse range of fund managers • You will receive ongoing advice and reporting	• Your funds will be invested in line with your Investor Risk Profile • The Macquarie Wrap Platform offers flexibility in terms of offering access to in excess of 100 underlying funds that can be incorporated into your portfolio • The underlying funds are actively managed by a diverse range of fund managers • Macquarie Wrap has a larger offering of sustainable and ethical investments to choose from than Colonial First State • You will receive ongoing advice and reporting	• Both funds provide a low cost platform. • Both funds meet your requirement of sustainable and ethical investment strategy.	• Flexibility and control of your investment decisions • The ability to purchase investment assets that cannot be purchased via other types of superannuation funds (e.g. direct property). • The ability to borrow to invest.
Cons	• The overall fees are higher than an industry fund in light of the active management and ongoing advice • The range of ethical and sustainable investment options is limited.	• The overall fees are higher than an industry fund such as Rest Super in light of the active management and ongoing advice	• The funds offer limited flexibility in terms of how your funds can be invested. • Active management is extremely limited. • Your funds will not be invested directly in line with your 'Balanced' Investor Risk Profile due to the limited options available. • We will be unable to provide ongoing advice and reporting as industry funds will not allow independent advisers to service their funds	• Running an SMSF can be expensive if you don't manage all costs, fees and charges of the products and services you use.

What is paid to your adviser

Plan Fee

There is no upfront plan fee for this Statement of Advice

Ongoing Fee Disclosure

Ross and Sallyanne, you have agreed to an ongoing advice fee arrangement of \$3,300 including GST paid in quarterly prepaid instalments of \$825 including GST

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non Superannuation Products

Yes, when making non superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Complete the application forms in the Product Disclosure Statements
- Sign and date the Authority to Proceed
- Return the forms to us
- Retain a copy for your records

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix A – Assumptions

In preparing your financial strategy, it is necessary to make certain assumptions. These are outlined below.

- Current superannuation rules, taxation legislation and social security rates have been used;
- Where applicable Medicare Levy of 2.0% is included on marginal tax rates;
- Throughout this plan, an inflation rate of 3% per annum has been used, and a variable rate of return on share and managed fund investments, as outlined in the relevant sections. Projections are calculated in today's dollars;
- Superannuation contributions tax of 15% is taken into consideration where relevant;
- There is no tax on the earnings within pension products.
- No consideration has been made for Eligible Termination Payments, foreign sourced income or capital gains or losses, unless stated otherwise;
- Cash flow projections are based on estimated income of your investment portfolio and any other income such as salary. Estimated expenses and tax are also included;

Appendix B – Retirement Capital Projections
